

JEFFY COMMERCE (PTY) LTD

Direct from the factory. Delivered by your neighbour.

Reg 2025/950712/07
SARS Customs Code CU25827795
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Jeffy imports goods directly from China and sells them through a network of **independent local resellers** who deliver from home — cutting out the import middlemen *and* the cost of last-mile delivery. **We are raising R5.0 million.**

R5.0m

CAPITAL RAISE (3 STAGED
TRANCHES)

Year 1

REACHES MONTHLY
BREAK-EVEN

Year 3

FULL R5.0M REPAYED FROM
PROFIT

R7.0m

OPERATING PROFIT BY
YEAR 3

HOW JEFFY WORKS

1

Import direct

Goods from China under
Jeffy's own SARS
customs code — factory
pricing.

2

Wholesale to locals

Independent resellers
buy stock at wholesale
and keep it at home.

3

They deliver

Same-day, in their own
area. PayFast auto-splits
every sale.

4

Wish List guides it

Customers' wishes tell
Jeffy exactly what to
stock next.

THE THREE-YEAR PICTURE

YEAR	ORDERS / MO (END)	REVENUE	OPERATING PROFIT	WHAT HAPPENS
Year 1	2,200	R1.9m	−R0.4m	Build the network; reach break-even
Year 2	8,000	R11.0m	+R2.1m	Profitable; scale proven areas
Year 3	18,000	R26.6m	+R7.0m	National rollout; R5.0m repaid

In one line: R5.0m is released in three tranches against milestones, mostly to buy inventory. The business reaches monthly break-even in **Year 1**, becomes solidly profitable in **Year 2**, and pays back the full R5.0m out of accumulated profit during **Year 3** — after which it keeps the network and the cash flow.

Registration, tax and customs identifiers are verifiable with CIPC and SARS. Financial figures are illustrative projections based on the assumptions stated inside — not guarantees of return. Tax, VAT and investment structuring are subject to confirmation by the company's chartered accountant and attorney.

1 The Opportunity

Imported goods are overpriced, online delivery is expensive, and millions of people need work. Jeffy solves all three at once.

South Africans pay too much for imported goods because of the layers between the factory and the buyer, and online delivery stays expensive because last-mile logistics is hard. Meanwhile unemployment sits at **32.7%** — and above 60% for young people — so there is a vast pool of capable people who could earn by selling and delivering in their own communities. Jeffy imports directly and hands delivery to local sellers, giving the customer factory-direct prices and the seller a real micro-business, at a fraction of the capital a normal retailer or courier needs.

Context: South African online retail is growing roughly 8–9% a year and is projected to reach around R225 billion within five years — a large, expanding market into which a lower-cost model can take share.

2 How the Model Works

Jeffy imports and owns the stock; independent resellers buy it wholesale and resell at retail. Both sides make a healthy margin.

Value chain: **Chinese factories** → **Jeffy** (imports, owns landed stock) → **independent resellers** (buy wholesale, resell at retail) → **customers** (order on jeffy.co.za). Jeffy collects payment centrally; PayFast Split Payments divides each sale in real time into Jeffy's wholesale revenue and the reseller's margin.

- **Two-tier margin.** Jeffy earns a mark-up over landed cost; the reseller earns a mark-up over wholesale. Both are set off true landed cost, so neither runs at a loss.
- **Graduation path.** New resellers start on credit (Jeffy-owned stock, retention of title) against a credit limit; as they build a cash cushion they buy upfront for a bigger margin — reducing Jeffy's credit risk over time.
- **Asset-light for Jeffy.** No stores, no fleet, no last-mile payroll — those costs and risks sit with the resellers, who are paid by their margin.

3 Why It's Hard to Beat

The reseller structure keeps Jeffy lean and legally clean — and a dense local network is slow for a pure-online rival to copy.

PRINCIPLE	WHAT IT MEANS
Buy-sell, not employment	Resellers buy and resell at a margin — not employees, not agents. No PAYE, minimum wage or leave (the proven Avon / Tupperware model).
Disclosed payment agent	Central collection via PayFast Split Payments; Jeffy never holds a reseller's money.
VAT on the wholesale leg	Registering lets Jeffy recover the 15% import VAT (otherwise a sunk cost); resellers are too small to register.
No joining fee	Keeps the network outside franchise classification under the Consumer Protection Act.

Once the reseller network is dense in an area, a pure-online competitor cannot easily match it on delivery cost or local trust — that is the durable advantage. (Structure to be finalised with the company's attorney and accountant before resellers are signed.)

4 The Wish List — Demand & Marketing in One

Customers tell Jeffy what to stock before a cent is spent — and the weekly giveaway markets the brand for almost nothing.

Before buying any stock, Jeffy asks customers what they want. Anyone can submit **one to ten** products they wish they had — no purchase, no catch. Each week Jeffy draws winners **at random** and grants the wish (sourced and delivered free), announcing every winner on **radio, in the newspaper, and across social media**.

It pays for itself twice. The wishes are a live map of real demand — so Jeffy stocks what people have already asked for, with almost no dead stock — while the “wish granted” moments turn marketing into a weekly public event at a fraction of paid-ad cost.

5 The Money Per Sale

On a typical R249 order, Jeffy keeps about R60 and the reseller about R59 — roughly 24% each.

Illustrative, on a representative R249 order, assuming VAT registration (import VAT recovered into a ~R80 landed cost). The reseller carries delivery, funded by their own margin.

JEFFY'S SIDE	ZAR	RESELLER'S SIDE	ZAR
Customer pays (retail)	249	Sells to customer	249
Reseller buys from Jeffy (Jeffy revenue)	160	Pays Jeffy (wholesale)	160
Jeffy landed cost (VAT-recovered)	80	Gross margin	89
Variable cost (fees, packaging, returns)	20	Less local delivery (approx.)	30
Jeffy keeps / order	~60	Reseller keeps / order	~59

6 The Investment

R5.0m, released in three tranches as each stage proves out. Roughly two-thirds is inventory — a recoverable asset, not a sunk cost.

TRANCHE	WHEN	AMOUNT	RELEASED AGAINST
1 — Prove	Months 1-3	R0.75m	Setup, legal/accounting, Wish List demand campaign, first test inventory.
2 — Launch	Months 4-12	R1.50m	At-scale inventory for 1-2 proven areas, reseller credit float, marketing.
3 — Scale	Year 2-3	R2.75m	Container-scale inventory in proven winners; national reseller rollout.
Total raise		R5.00m	Later tranches gated on hitting the prior stage's targets.

Where the money goes

Inventory & working capital		R3.20m • 64%
Reseller onboarding & credit float		R0.70m • 14%
Marketing & Wish List giveaways		R0.65m • 13%
Setup, legal, accounting, platform		R0.45m • 9%

~64% of the raise is inventory and working capital — it converts back to cash as it sells, so the true cash-at-risk is far below the headline R5.0m.

7 The Return — A 3-Year View

Break-even in Year 1, ~R2.1m profit in Year 2, ~R7.0m in Year 3 — and the R5.0m is fully repaid from profit during Year 3.

Break-even	The first month the business earns more than it spends. → Year 1 (around month 11).
Cash-positive	Early build-up losses earned back; the business now adds to the bank each month. → early Year 2.
Capital payback	Total accumulated profit equals the R5.0m invested. → during Year 3 (around month 33).

YEAR	REVENUE	OPERATING PROFIT	CUMULATIVE PROFIT	STAGE
Year 1	R1.9m	−R0.4m	−R0.4m	Building — reaches break-even in Q4
Year 2	R11.0m	+R2.1m	+R1.7m	Profitable and self-funding
Year 3	R26.6m	+R7.0m	+R8.7m	R5.0m repaid; cash returns to shareholders

Year 1 is a build year (a small, planned loss while the network is recruited). From Year 2 the business funds its own growth, and by the end of Year 3 cumulative profit (~R8.7m) has comfortably exceeded the R5.0m invested. Returns reach the investor as dividends from Year 2–3 onward and as growth in the value of the equity.

What has to be true. The case rests on (1) the ~R60 contribution per order shown in section 5, (2) the reseller network growing from a 1–2-area pilot toward ~120–150 active resellers by Year 3, and (3) disciplined, staged capital. Tranches 2 and 3 release only once the prior stage's economics are proven — that is the protection on the downside.

Quarterly detail (the fine print behind the years above)

QUARTER	ORDERS/MO	REVENUE	OP. PROFIT	CUMULATIVE
Y1 Q1	150	R0.07m	−R0.15m	−R0.15m
Y1 Q2	500	R0.24m	−R0.15m	−R0.30m
Y1 Q3	1,200	R0.58m	−R0.08m	−R0.39m
Y1 Q4	2,200	R1.06m	+R0.04m	−R0.35m
Y2 Q5	3,500	R1.68m	+R0.21m	−R0.14m
Y2 Q6	5,000	R2.40m	+R0.42m	+R0.28m
Y2 Q7	6,500	R3.12m	+R0.63m	+R0.91m
Y2 Q8	8,000	R3.84m	+R0.84m	+R1.75m
Y3 Q9	10,000	R4.80m	+R1.14m	+R2.89m
Y3 Q10	12,500	R6.00m	+R1.53m	+R4.42m
Y3 Q11	15,000	R7.20m	+R1.92m	+R6.34m
Y3 Q12	18,000	R8.64m	+R2.40m	+R8.74m

Assumptions: R60 contribution per order; central overhead rising from ~R60k to ~R280k/month as the team and platform scale. Revenue is Jeffy's wholesale leg (what resellers pay Jeffy), not retail turnover.

8 Roadmap

Prove cheaply first; only release the big capital once the numbers work in a live area.

PHASE 0-1

Months 1-3

R0.75m

Foundations & demand discovery

Secure platform; legal/accounting + VAT; launch the Wish List; weekly random draws build the demand shortlist; small test inventory.

PHASE 2-3

Months 4-12

R1.50m

Source, prove & launch the network

Order proven winners; onboard the first reseller cohort in 1-2 hottest areas; geo-routing + split payments live. **Break-even reached in Year 1.**

PHASE 4

Year 2-3

R2.75m

Scale nationally

Deploy capital into proven winners by the container; roll out town-by-town. Profitable in Year 2; R5.0m repaid during Year 3.

9 Risks & Mitigations

RISK	MITIGATION
Unit economics weaker than modelled	Staged capital — Tranches 2 & 3 gated on proven contribution; focus on items that carry freight & duty.
Network scales slower than planned	Go dense in 1-2 areas before going wide; credit float + an attractive ~R59/order keep recruitment strong.
Cash locked in transit & inventory	Small proving batches first; ~64% of the raise is recoverable inventory; tight per-reseller ledger and monthly close.
FX & freight volatility	Cost at the FX rate actually paid; pricing allowance; reconcile monthly.
Reseller mis-classification	Attorney-drafted buy-sell agreement, retention of title, no joining fee, disclosed-agent collection.

10 Company, Team & Compliance

Registered name	Jeffy Commerce (Pty) Ltd
Registration no.	2025/950712/07
Incorporated	10 Dec 2025 · FY end Feb
Income Tax no.	9168272293
SARS Customs Code	CU25827795
Director	Tredoux Willemse
Banker	Nedbank · 1307614477 · br 198765
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Founder & Director — Tredoux Willemse. South African; has worked across multiple continents; drives strategy and sourcing.

To be engaged: a South African attorney (reseller & competition docs) and a chartered accountant (VAT, tax, structuring). Resellers are the distributed workforce as independent businesses.

Compliance: provisional tax (IRP6) + annual ITR14; CIPC annual return with Beneficial Ownership; import records kept five years; monthly close reconciling Nedbank, PayFast settlements and inventory/COGS at landed cost.

Disclaimer: for information and discussion only. Registration, tax and customs identifiers are verifiable with CIPC and SARS. Financial figures are illustrative projections based on the stated assumptions and are not audited results or guarantees of return. Tax, VAT, legal-structure and investment/visa positions require confirmation by the company's chartered accountant and attorney.